RENSOFT

Medical Business
System Analysis Document

By
Rensoft Solutions

DOCUMENT INFORMATION AND HISTORY

System:	Medical Insurance System
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1. INTRODUCTION

2. PURPOSE

The purpose of this document is to detail the requirements for Medical Insurance. It defines functional and non-functional requirements to facilitate Medical business processing for Brokerage and Bancassurance.

This document will form a common understanding and a point of reference among the stakeholders who will be involved in the design, development and testing of the envisaged solution.

3. SCOPE

The following functionality is considered to be in scope of this document:

- Quotation Process – The formal process setting out the estimated cost for a Medical insurance cover.
- Underwriting Process – The formal process of evaluating the risks and exposures of a potential client and managing the same in the system.
- Claims Process – The formal process of requesting payment based on the terms of the insurance policy and managing the same in the system.

1. UNDERWRITING PROCESS

1.1. Client Creation

Ability to create a client – Corporate (Scheme) and Individual.

1.2. Policy Generation

The system should allow capturing of Policy general information as below:

- **Client** – Allow creation of a new client, or selection from a list of already created clients.
- **Product** – Allow selection of a product from a product list already defined from the system setups.
- **Insurance Company** – Allow selection of the insurance company for which the policy will be assigned to under a defined list derived from system setups.
- **Policy cover period** – Allow selection of the insurance period which is the time within which a risk is on cover by the insurer. If a policy has multiple insureds, they could have different cover periods but all must be within the whole policy cover period. For every insured in a policy, the period could be as follows:
  - *Full Period*: this is when the risk cover is for a full year (365 days or 366 days for leap years).
  - *Short Period*: this is when the risk cover is for a period of less than a full year.
- **Payment Mode** – Allow selection of the Means by which a payment is made e.g. Cash, Cheque, Credit Card.
- **Payment Frequency** – Allow selection of the frequency in which a payment is made e.g. Monthly, Quarterly, Annually.
- **Branch** – Allow selection of policy branch which is the branch to which the policy will be assigned to and production reported; the branch list will be defined at system setups.
- **Division** – Allow selection of policy division which is the division to which the policy will be assigned to and production reported; the division list will be defined at system setups.
- **Currency** – Allow selection of the policy currency which is the currency in which the policy will be underwritten in; the currency list will be defined at system setups.
- **Beneficiary** – Allow selection of the policy beneficiary. This is the beneficent of the policy in case of a claim (Mostly death claims), where the beneficent can be either of the following parties.
  - Insured – One of the insured in the policy e.g. Principal member, Spouse.
  - Client – Corporate Company.
  - Broker – The client's broker.

1.3. Insured's Definition

Insured persons are physical entities that are object of an insurance contract. They can be grouped in categories depending on different criteria: offered covers, category and cover limits,

The system should allow capturing of Insureds' (Risk) details as per below definition:

- **Category** - The category consists of members who share common characteristics such as similar occupations, positions or age bands within the company. The category members will share the same insurance product, with the same covers, the same rates for these covers, and the same rule for the calculation of their insured value. E.g. Under a given company, the categories would be: Directors, Managers, Supervisors, and Other Staff.
  Required: The system should allow creation of new categories where members under various families will be tagged to for companies (scheme) policies while for individual policies, the system should allow creation of only one category.
- **Family** – The family consists of members living under one roof and usually under one head (Defined as the Principal member) that are related either by blood, marriage or adoption.
  Required: The system should allow creation of new families under various sizes as per below definition to be tagged under the defined categories.
    - M – Family with 1 Insured (Principal)
    - M+1 – Family with 2 Insureds (Principal and 1 dependents)
    - M+2 – Family with 3 Insureds (Principal and 2 dependents)
    - M+3 – Family with 4 Insureds (Principal and 3 dependents)
    - M+4 – Family with 5 Insureds (Principal and 4 dependents)
    - M+5 – Family with 6 Insureds (Principal and 5 dependents)
    - M+6 – Family with 7 Insureds (Principal and 6 dependents)
    - M+7 – Family with 8 Insureds (Principal and 7 dependents)
    - More than M+7 – Family with more than 7 Insureds (Principal and more than 6 dependents)
- **Member** – Members are physical entities that are objects of an insurance cover.
  Required: The system should allow definition of individual members under defined family sizes tied to respective categories as defined. The members will be defined under client creation as insureds, thus available for selection while underwriting the policy.

1.4. Covers

This is the amount of risk or liability that is covered for an individual or entity by way of insurance services. The covers provide the basis for the benefit limits per category or per family or per member.

Required: Under Medical insurance the system should provide selection of covers (sections) as per below definition for:

a) Insured cover (The client is expected to pay premium for insurance cover)

- **IP** – Inpatient. This is a main cover that is always defined as a mandatory cover and would have various riders (chargeable or free) as below:
  - IP-HIV (Inpatient HIV)
  - IP-DIALY (Inpatient Dialysis)
  - IP-EVAC (Inpatient Evacuation)
  - IP-CONG (Inpatient Congenital)
  - IP-PC (Inpatient Pre-Existing Conditions)
  - IP-GYNA (Inpatient Gynecology)
  - IP-MAT (Inpatient Maternity)
  - IP-OPTH (Inpatient Ophthalmological)
  - IP-PERNATL (Inpatient Prenatal Care)
  - IP-PHSP (Inpatient Post Hospitalization)
  - IP-CA (Inpatient Cancer)

- IP-PSYC (Inpatient Psychomolgy)
- IP-CS (Inpatient Caesarian delivery)

- **OP** – Outpatient. This is a main cover that would have various riders (chargeable or free) as below:
  - OP-DNTL (Outpatient Dental)
  - OP_OPTC (Outpatient Optical)
  - OP-GYNA (Outpatient Gynecology)
  - OP-HIV (Outpatient HIV)
  - OP-CA (Outpatient Cancer)
  - OP-CONG (Outpatient Congenital)
  - OP-EVAC (Outpatient Evacuation)
  - OP-MAT (Outpatient Maternity)
  - OP-MER (Outpatient Medical Examination)
  - OP-PC (Outpatient Pre-Existing Conditions)
  - OP-PSYC (Outpatient Phsycomology)
  - OP-VACC (Outpatient Vaccination)
  - OP-FUNERAL (Outpatient Funeral)

b) Self-Funded Cover (The client is expected to deposit a fund that will be administered by the broker)

- Similar covers to the Insured cover would apply with the difference being that the client is expected to deposit a fund that is to be administered by the broker in providing medical cover for insureds in the policy.
  Required: The system should allow for selection of the Self-funded covers (sections) to be tied against required categories.

1.5. Benefit Limits

Limits are part of the financial rules for calculating the indemnity. They apply to liability types of insurance and define the maximum amount that the insurance policy provides over its life time or over another specified period of time or conditions.

Limits are added against a category for each of the covers as defined above and the same will apply either per family or per member in the category based on the selected option.

Required: The system should provide the capability to add a limit amount per each selected cover with the ability to define whether the limit applies per family or per member. The limit amount should be mandatory for all selected covers to allow management of the same at claims.

Copayment is an option provided by the insurer or broker where employees cater for part of the claim on services received.

Required: The system should allow selection of copayment option which should be tied to specified covers at system setups with the same being deducted at claim payment. The copayment can either be a percentage of the cover limit amount or a flat amount which should also be defined at system setups with the option to edit while underwriting a policy.

1.6. Policy Conditions

These are the additional conditions to the policy that define the scope of the cover and are defined as below:

- Policy Clauses
- Policy Limits of liability

1.7. Taxes Computation

Taxes are a compulsory contribution levied by the government on the recipient of an insurance cover.

Required: The system should provide the capability to define the following taxes at system setups with the same being applied at underwriting.

- Stamp Duty – At Kes. 40 per policy
- Training levy – 0.2% of insured basic premium
- Policy Holders Compensation Fund – 0.25% of insured basic premium

The defined taxes should be availed on the debit note upon computation.

- Medical Cards – These are cards that are issued to individuals or families who are eligible to receive a rebate of medical expenses. The system should provide with the capability for selection of a card type – Smart or Photo Card as defined in the system setup while underwriting. The cards should be defined with specific charges at system setup to be applied at underwriting. The medical card fees computation should be applied to both insured and self-funded schemes.

1.8. Premium Computation

a) Insured Option

Premium is the amount of money that an individual or company must pay for an insurance policy. The insurance premium is considered income by the insurance company once it is earned, and also represents a liability in that the insurer must provide coverage for claims being made against the policy.

Required: The system should provide the capability to compute premium by picking defined values from a rates table. The rates table should be configured as per below definition:

- Corporate Company – Family size against the cover limits for the chargeable covers. See below sample for Inpatient premium rates table.

GROUP MEDICAL IN-PATIENT INSURANCE PREMIUMS (Amounts in shillings)									
BENEFIT PER FAMILY	SIZE OF FAMILY								
	M	M+1	M+2	M+3	M+4	M+5	M+6	M+7	Extra
100,000	9,570	11,990	14,410	16,720	18,810	20,900	22,660	24,530	1,870
200,000	11,110	15,620	17,710	21,340	24,860	28,050	31,020	33,990	2,970
300,000	12,210	16,720	21,120	25,190	29,150	32,780	36,190	39,490	3,410
400,000	13,200	18,700	23,980	29,040	33,770	38,280	42,350	46,420	4,070
500,000	14,300	19,910	25,190	30,250	35,090	39,600	43,780	47,850	4,180
600,000	15,180	20,900	26,290	31,460	36,300	41,030	45,210	49,390	4,180
700,000	15,730	21,450	26,950	32,230	37,180	41,910	46,200	50,380	4,290
800,000	16,610	22,440	28,050	33,330	38,280	43,010	47,410	51,700	4,290
900,000	17,270	23,100	28,710	33,990	39,050	43,780	48,070	52,360	4,290
1,000,000	18,150	23,980	29,590	34,870	39,930	44,770	49,060	53,350	4,290
1,100,000	18,370	24,310	29,920	35,200	40,260	45,100	49,610	54,120	4,510
1,200,000	18,370	24,310	29,920	35,310	40,370	45,210	49,830	54,340	4,620
1,300,000	18,480	24,420	30,030	35,420	40,480	45,320	49,940	54,560	4,620

1,400,000	18,590	24,530	30,140	35,530	40,590	45,430	50,160	54,890	4,730
1,500,000	18,700	24,640	30,360	35,640	40,810	45,650	50,490	55,330	4,840
1,700,000	18,964	24,904	30,624	35,992	41,162	46,002	51,018	56,122	5,016
2,000,000	19,250	25,300	31,020	36,520	41,690	46,530	51,920	57,200	5,280
3,000,000	25,080	32,560	39,710	46,530	52,910	59,070	65,120	71,280	6,160
4,000,000	32,010	41,250	50,050	58,410	66,330	73,920	81,510	88,990	7,590
5,000,000	36,740	47,300	57,200	66,660	75,680	84,150	94,160	104,170	11,220
6,000,000	38,060	48,620	58,740	68,310	77,440	86,130	96,140	106,260	11,330
7,000,000	39,270	50,050	60,280	69,960	79,200	88,000	98,230	108,460	11,550
8,000,000	40,590	51,480	61,820	71,610	80,960	89,870	100,210	110,660	11,660
9,000,000	41,800	52,910	63,360	73,260	82,720	91,740	102,300	112,750	11,770
10,000,000	43,120	54,230	64,900	74,910	84,590	93,610	104,280	114,950	11,990

- Individual – Age of the Principal and Spouse against the limit and the number of dependants. See below sample for Inpatient premium rates table.

INDIVIDUAL MEDICAL IN-PATIENT INSURANCE PREMIUMS (Amounts in shillings)								
BENEFIT PER FAMILY	200,000	400,000	600,000	800,000	1,000,000	2,000,000	3,000,000	5,000,000
Principal: 19-49 Years	12,731	16,038	17,920	18,690	19,680	28,922	35,984	52,804
Spouse: 19-49 Years	10,439	12,830	14,336	14,952	15,744	23,138	28,787	42,243
Child: 30 Days-18 Years	6,300	7,725	8,755	10,300	12,360	20,764	23,840	27,942
Principal: 50-64 Years	20,121	22,964	23,835	26,240	29,213	43,173	53,715	78,821
Spouse: 50-64 Years	16,499	18,830	19,545	21,517	23,954	35,402	44,046	64,634
Child: 30 Days-18 Years	6,300	7,725	8,755	10,300	12,360	20,764	23,840	27,942

b) Self-funded Schemes

This applies only to corporate companies where the company deposits a fund with the broker to administer on behalf of the company, with the broker earning an administration fee for these services.

Cover is issued to the employees and their dependants in the same criteria as the Insured option, with a limit being applied to selected covers and the client depositing part of the fund to be utilized by the employees.

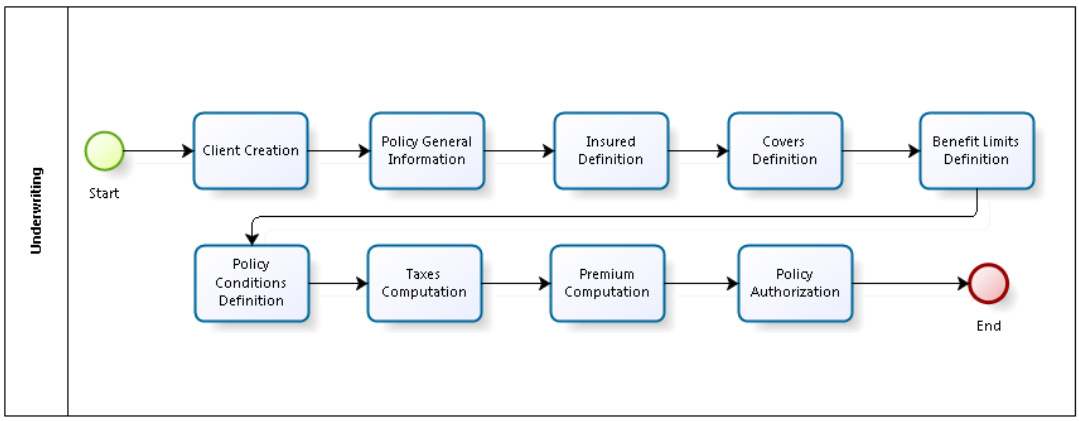
Required:

- The system should provide for a Fund management screen that allows the user capture the fund amount deposited by the client which is also printed on the debit note.

- The system should also provide for a section to indicate the next installment date for alerting the client to provide part of the remainder of the fund.
- The system should allow calculation of the admin fee based on the below parameters.
    - Flat amount per insured – Can be determined at the start of the policy
    - % of the claims paid – Can only be determined at the end of the policy period.

  The above Fund admin fee should be added to the fund deposit expected from the client and should form part of the debit note amounts.

1.9. Policy Authorization

This involves approval of the policy including approval of generated exceptions.
Required: The system should have the capability to generate exceptions in all cases where the defined underwriting rules have not been adhered to, with the ability to approve the exceptions before policy authorization.

The below model is a representation of the process through the Medical Underwriting.